

version of its product. As part of the company's commitment to being data-driven, it had tried to conduct an experiment on pricing. The first part of the meeting was taken up with interpreting the data from the experiment.

One problem was that nobody could agree on what the data meant. Many custom reports had been created for the meeting; the data warehouse team was at the meeting too. The more they were asked to explain the details of each row on the spreadsheet, the more evident it became that nobody understood how those numbers had been derived. What we were left looking at was the number of gross sales of the product at a variety of different price points, broken down by quarter and by customer segment. It was a lot of data to try to comprehend.

Worse, nobody was sure which customers had been exposed to the experiment. Different teams had been responsible for implementing it, and so different parts of the product had been updated at different times. The whole process had taken many months, and by this point, the people who had conceived the experiment had been moved to a division separate from that of the people who had executed it.

You should be able to spot the many problems with this situation: the use of vanity metrics instead of actionable metrics, an overly long cycle time, the use of large batch sizes, an unclear growth hypothesis, a weak experimental design, a lack of team ownership, and therefore very little learning.

Listening in, I assumed this would be the end of the meeting. With no agreed-on facts to help make the decision, I thought nobody would have any basis for making the case for a particular action. I was wrong. Each department simply took whatever interpretation of the data supported its position best and started advocating on its own behalf. Other departments would chime in with alternative interpretations that supported their positions, and so on. In the end, decisions were not made based on data. Instead, the executive running the meeting was forced to base decisions on the most plausible-sounding arguments.

It seemed wasteful to me how much of the meeting had been